
PAPERBOY

THURSDAY, OCTOBER 1, 2026

Micron sold \$54.2bn of memory in a single quarter at an 86.8% gross margin, and the stock closed three cents higher.

AI

An FTC inquiry into AI agents is being reported. The FTC has said nothing.

WHAT HAPPENED

Several outlets reported on Wednesday that the Federal Trade Commission has opened a consumer-protection inquiry into AI agent products and the safety claims made for them, with civil investigative demands served on OpenAI and Anthropic. It was carried first by [Benzinga](#), then by the-decoder and Invezz. The agency itself has published nothing: its [press-release page](#) carries no item dated 29 September to 1 October, and nothing naming any recipient. This rests on recipients or leaks, not on the FTC. Quotes attributed to Chair Andrew Ferguson are circulating in the coverage; none could be matched to anything the agency has published, so they are not printed here.

WHAT IT MEANS

If real, it is the first US enforcement aimed at agents rather than chatbots, and it uses the only lever available without an AI statute: a safety claim is an advertising claim, and Section 5 covers advertising claims. That lands four days after six labs signed a voluntary accord containing nothing measurable. The distance between a promise and an actionable representation is exactly the ground the FTC occupies.

WATCH NEXT

An FTC release, or a disclosure in either lab's filings. Neither had responded publicly by Thursday morning.

Senate Republicans start drafting the AI rules the White House wanted kept voluntary

WHAT HAPPENED

Two things surfaced Thursday. Senators Josh Hawley and Chris Murphy plan bipartisan legislation establishing liability for AI harms, cutting against the administration's stated preference for industry self-regulation. Separately, Majority Leader John Thune signalled he wants to [codify AI safety safeguards](#) in statute following last week's White House summit. Both are stated intentions reported by Axios; no text has been introduced and no timetable given.

WHAT IT MEANS

The accord's weakness is becoming its political problem. Liability needs no regulator, no appropriation and no new agency: it works through courts that already exist. A Hawley-Murphy pairing is hard to whip against because it is not a party-line bill. And a Majority Leader talking about codification cuts against the federal preemption of state AI rules that the industry has been asking for.

WATCH NEXT

Introduced text from either office, and whether preemption rides along as the price.

Anthropic says an open-weight Chinese model does frontier-grade offensive cyber without guardrails

WHAT HAPPENED

Anthropic published an analysis of GLM-5.3, the open-weight model from Z.ai, finding it close to its own frontier system on offensive-cyber benchmarks while shipping without comparable safeguards. On ExploitBench it produced 50 successful exploits out of 410, against 56 of 410 for Claude Mythos Preview; on binary exploitation it reached 4% full program-control takeover against 6%, with Claude Opus 4.6 and the earlier GLM-5.2 both at zero. Working exploits cost about \$20 and eight compute hours, and refusals were bypassed in 64 to 100% of attempts. The report calls it "a meaningful step change in the cyber capabilities available to attackers." Via [Trending Topics](#); Anthropic's own post was not reachable, and the underlying report appears to be dated 29 September, at the very edge of this window.

WHAT IT MEANS

The open-weights argument stops being theoretical when the gap is 50 against 56. Worth saying plainly: Anthropic is a competitor publishing about a rival's model, and the findings are convenient. Jake Williams of IANS called the alarm overblown; Tom Uren argued open models remain economically justified for US firms.

WATCH NEXT

Whether CISA or the NCSC says anything, and whether any US policy action follows. Nothing dated this week.

Micron did \$54.2bn in a quarter at an 86.8% gross margin

WHAT HAPPENED

Micron reported fiscal Q4 after Wednesday's close, in an [8-K filed the same day](#). Revenue was \$54.229bn, about \$4.2bn above the top of its own \$50.0bn plus or minus \$1.0bn guide and up from \$41.456bn the prior quarter. GAAP gross margin was 86.8%, operating income \$43.751bn, net income \$37.701bn and diluted EPS \$32.87. For the full year, revenue was \$133.188bn against \$37.378bn in fiscal 2025, with \$89.675bn of operating cash flow. Fiscal Q1 is guided to \$61.5bn plus or minus \$1.5bn and GAAP EPS of \$37.84 plus or minus \$1.00. The [prepared remarks](#) add 26 strategic customer agreements covering over 35% of revenue through 2030, \$32bn of customer financial commitments mostly in cash deposits, and data-centre SSD revenue of nearly \$10bn, more than ten times a year ago. Sanjay Mehrotra said Micron has "completed agreements for the vast majority of our calendar 2027 HBM bit supply with significant price increases year over year."

WHAT IT MEANS

An 86.8% gross margin on a product that was a commodity three years ago is the single clearest number in the AI build-out. The \$32bn of customer commitments is the better tell than the revenue: buyers are pre-paying cash to reserve 2027 bits. Capex of roughly \$11.5bn in the current quarter and \$25bn across the first half, with construction spending growing faster than equipment, says Micron is adding floor space rather than filling it.

WATCH NEXT

Fiscal Q1 results in mid-December, and the 2027 HBM4 allocation.

And the stock did nothing at all

WHAT HAPPENED

Micron closed 30 September at \$1,065.11, three cents above Tuesday's \$1,065.08, per stockanalysis.com. Thursday's pre-market print was \$1,056.77, down 0.78%. That is a flat session and a soft open on a quarter that beat its own guidance by \$4.2bn. Futurum's Shay Bolor attributed the muted reaction to the quarter being primarily price-driven, with revenue growth far outpacing shipment growth.

WHAT IT MEANS

The beat was already in the price, which is what happens when a stock has quadrupled. More usefully, Bolor's point is the risk: a margin built on scarcity unwinds when scarcity does, and Micron's own capex plans are part of what eventually ends it. Bits shipped, not dollars booked, is the number to track from here.

WATCH NEXT

Whether memory holds up if hyperscaler capex guidance underwhelms in late October.

TrendForce sees another 10-15% on DRAM contract prices this quarter

WHAT HAPPENED

TrendForce published its fourth-quarter memory contract outlook on 30 September, the same day as Micron's print. It forecasts conventional DRAM contract prices up 10 to 15% quarter-on-quarter and NAND flash up 15 to 20%. Enterprise SSD is the only category whose price increase is expected to accelerate against the third quarter; client SSD increases stay restrained because consumer demand is lagging. The [release](#) says suppliers "continue to prioritize advanced-process capacity for high-performance server products in 4Q26, keeping the overall market undersupplied."

WHAT IT MEANS

Independent corroboration of what Micron's numbers imply: this is a price cycle driven by capacity being pointed at servers, not by a surge in units. The consumer side is paying for the AI build-out through the cost of a laptop, which is a slower-burning political problem than it sounds.

WATCH NEXT

Samsung and SK Hynix third-quarter results in late October.

August PCE accelerated. Most of the coverage said it cooled.

WHAT HAPPENED

The BEA [released](#) August personal income and outlays on Wednesday at 08:30 ET. The headline PCE price index rose 0.3% on the month and 3.4% on the year; core rose 0.2% and 3.0%. Both undershot a consensus of 0.4% and 0.3%, which is what the "cooler than expected" headlines meant. Against July, both accelerated: July was 0.1% on headline and 0.1% on core. Consumption was hot in its own right: current-dollar spending up \$190.8bn or 0.9%, real spending up 0.6% after 0.1%, income up 0.2%, and the saving rate down to 4.1%. The release also carried the annual update of the national economic accounts, revising the series back to January 2021, which invalidates any "lowest since" built on earlier vintages. The BEA itself claims no superlative.

WHAT IT MEANS

A downside surprise against forecasts is not disinflation. Prices firmed, spending ran hot, and the saving rate funded it. On this print the case for another hike got easier, not harder.

WATCH NEXT

September CPI around 13 October, then the FOMC on 27-28 October. The range is 3.75-4.00% after a [12-0 hike on 16 September](#).

The long end kept grinding, and September was a one-sector month

WHAT HAPPENED

Treasury's own 3pm [curve](#) put the 10-year at 5.29% on 30 September, up from 5.26%, the 30-year at 5.64% from 5.59%, and the 2-year at 4.88%. Equities faded into the bell: the Dow closed 50,908.79, down 441.13 or 0.86%, and the Nasdaq Composite 26,861.06, up 63.52 or 0.24%. The S&P fell about 0.2% to roughly 7,656; two sources disagree on the level and SPY's 0.21% decline favours the higher reading, so treat it as approximate. The Russell 2000 fell about 0.4%, to around 2,794.6, single-sourced. For the month, XLK was the only S&P sector ETF higher, at 4.96%, with the deepest sector falls running 5 to 7%; the Dow lost 4.3% and the Nasdaq gained 1.9%.

WHAT IT MEANS

Breadth is one sector wide and the discount rate is still rising: the only thing working is also the thing most exposed to the long end. Neel Kashkari was reported late Wednesday saying inflation "remains too high, running at around 3%" and penciling in one more hike this year and another in 2027 - InvestingLive and wire aggregators only, nothing on the Minneapolis Fed's site, so reported rather than published.

WATCH NEXT

Payrolls on Friday 2 October, consensus around 100k with unemployment at 4.2%. Claims Thursday at 08:30.

Brent's November contract expired in steep backwardation

WHAT HAPPENED

The Reuters settlement [wire](#) reads: the Brent November contract, expiring Wednesday, settled up 91 cents or 0.9% at \$103.50; the more active December contract rose \$1.87 or 1.9% to \$98.03; US WTI settled at \$90.42, up \$1.04 or 1.2%. The move was attributed to stalled US-Iran negotiations and tight refined-fuel markets.

WHAT IT MEANS

The \$5.47 gap between the expiring contract and the next one is the cleanest available read on how much of this price is a near-term Gulf disruption premium rather than a structural view. The market is paying up for barrels now and discounting barrels in two months, which is a bet on noise rather than war.

WATCH NEXT

Whether December Brent closes that gap as the Iran channel collapses or reopens.

Oura pulled its IPO, and Anthropic still has no registration statement on file

WHAT HAPPENED

Oura postponed a listing that was to raise up to \$2.2bn, "basically unable to get the price it wanted" according to a person familiar, per [Axios](#); the company cited market conditions, and the book was around five times covered but not at the top of the \$40 to \$44 range. EDGAR shows Oura Inc. with an S-1/A filed 21 September and no withdrawal: live but stalled. For context, US IPO proceeds reached \$141.2bn by mid-July. On Anthropic: there is no S-1 or S-1/A from Anthropic on EDGAR at all. Reports of a November Nasdaq listing at a \$2tn-plus valuation with \$100bn-plus of proceeds are supported by no filing, and are not in the Axios piece they are usually attributed to.

WHAT IT MEANS

With the 10-year at 5.29%, growth issuers are being asked to accept a discount rate their last private round did not contemplate. Oura had demand; it did not have the price. That is the window closing by valuation rather than by volume, which is the harder kind to wait out.

WATCH NEXT

An Oura re-launch or an RW withdrawal filing. Any Anthropic registration statement at all.

Flow Engineering raises \$50m at a \$750m valuation for agents that read CAD

WHAT HAPPENED

The three-year-old San Francisco company raised a [\\$50m Series B at \\$750m](#), led by Valor Equity Partners and Atreides Management, with Sequoia participating and Roelof Botha investing personally and joining the board. The product is agents that automatically reconcile CAD drawings against product requirements, simulation results and test data. Named customers include Anduril, Rivian, Joby Aviation, a General Motors unit and Stoke Space.

WHAT IT MEANS

Hardware engineering is one of the few places where document-reading agents have a measurable right answer: either the drawing matches the requirement or it does not. A far better fit than the open-ended knowledge work most agent startups sell. Botha writing a personal cheque and taking a board seat is the part that is hard to fake.

WATCH NEXT

Whether a defence prime signs as a customer of record rather than a pilot.

Three ways to finance hardware when equity is expensive

WHAT HAPPENED

Three deals landed on 30 September, each single-outlet. Astranis secured a \$468m loan from the [US Export-Import Bank](#) to expand domestic satellite production, against existing contracts in Oman, Saudi Arabia, Taiwan and Thailand. FedEx ordered [2,000 electric trucks from Harbinger](#) in a \$300m deal. And Stratolaunch bought a Boeing 777-200ER to carry its Talon-A hypersonic vehicle, lifting flight capacity by roughly 35%.

WHAT IT MEANS

An export credit agency, a corporate order book and a second-hand widebody: three ways to fund capital equipment that are not a priced round. When the cost of equity rises, this is what capital formation looks like at the hardware end, and it is a better leading indicator of the sector than funding totals are.

WATCH NEXT

Whether EXIM does more of these. A government lender taking commercial satellite risk is a policy choice, not a one-off.

US

The Republican Senate map is widening into states Trump carried

WHAT HAPPENED

With a month to 3 November, [Axios reported](#) Thursday that the GOP outlook is deteriorating despite a cash advantage, with seats in Ohio, Iowa, Alaska, Texas, Kansas, Nebraska and Florida all described as live. Susan Collins lost in-state campaign time and failed to get a floor vote on her insulin-cost bill; Pete Ricketts is facing attack ads over a pardon; Roger Marshall's lawyers have sent a cease-and-desist over claims about collection actions against new mothers. NRSC chair Tim Scott dismissed candidate criticism of the convention analysis as "just wrong." Democrats have their own trouble: Mary Peltola, challenging Dan Sullivan in Alaska, took damaging New York Times coverage of her office culture.

WHAT IT MEANS

When the defensive map runs through Kansas and Nebraska, the contest has stopped being about persuasion and become about who shows up. Nothing here moves the generic ballot past Emerson's D+11, but candidate-level trouble in safe states is how a normal midterm becomes a bad one.

WATCH NEXT

October fundraising reports, and whether leadership moves money into any of the red-state seats.

Hegseth opens bidding for a base of 15,000 to 25,000 troops

WHAT HAPPENED

In a Pentagon speech on Wednesday the Defense Secretary [invited states to compete](#) to host a new military installation of 15,000 to 25,000 troops. In the same remarks he attacked the press, saying "our so-called press makes Iranian state media look reasonable," in comments [Axios reports](#) as accusing the media of treason.

WHAT IT MEANS

An installation that size is a regional economy for decades, not a procurement line. Auctioning it among states five weeks before a midterm puts a very large federal cheque inside a campaign, whatever the stated criteria turn out to be. No solicitation, no criteria and no timeline have been published.

WATCH NEXT

A formal solicitation, and which delegations bid. The absence of published criteria is the thing to keep asking about.

Powell cleared over the renovation; Blackburn sues Jack Smith

WHAT HAPPENED

The Federal Reserve's inspector general found no criminal wrongdoing by former chair Jerome Powell in connection with headquarters renovation spending, per [Axios](#) on 30 September; the IG report itself was not locatable on federalreserve.gov. Separately, Senator Marsha Blackburn [sued](#) former special counsel Jack Smith on 30 September, alleging he unlawfully obtained her cellphone toll records during the "Arctic Frost" phase of the Trump investigation. Both are single-outlet as fetched, and the complaint has not been read.

WHAT IT MEANS

The renovation was the stated pretext for a year of pressure on Powell, and the finding removes it after he has already left. Blackburn's suit runs the other way: a sitting senator using civil process against a former prosecutor, which if it survives a motion to dismiss becomes a template.

WATCH NEXT

Publication of the IG report. The venue and docket for Blackburn's complaint.

France's 2027 budget asks pensioners and the civil service to carry it

WHAT HAPPENED

Sebastien Lecornu's government presented the 2027 budget and social-security bills in Thursday's Conseil des ministres, targeting a public deficit of 5.0% of GDP against a no-measures path around 6.5%. The headline effort depends entirely on the perimeter: 54bn euros in total, of which roughly 45bn in new measures and about 9bn carried over from 2026, while a narrower "mesures de redressement" line of 43bn is what Liberation and Boursorama led with. Inflation is assumed at 1.8%. The composition leans on spending: a freeze of the civil-service point d'indice worth about 2bn euros, sick-leave reform, higher medical franchises, and a pensioner contribution the government insists is "moins de six milliards" with no nominal pension cut. No government primary carried any of these figures by Thursday morning - the [press-conference notice](#) was embargoed and the dossier de presse was not posted, so every number here is outlet-attributed. Roland Lescure presented it.

WHAT IT MEANS

This is a spending budget rather than a tax budget, and it loads the effort onto pensioners and public employees, the two constituencies most capable of putting people on the street. Monday's strike drew 206,000 by the Interior Ministry's count. Lecornu has no majority: LFI is pre-committed to censure, which makes the RN's abstention the whole arithmetic.

WATCH NEXT

Assembly examination reportedly from 12 October and a vote on the full text around 17 November, both unverified. Union response over the weekend.

Rubio expelled Iran's UN delegation; Trump floated blowing them up

WHAT HAPPENED

Secretary of State Marco Rubio ordered Iran's UN delegation, including Foreign Minister Abbas Araghchi, out of the United States after talks stalled. [Axios reports](#) they left New York at 1:20am Tuesday, with a US official saying they "had overstayed their welcome" now the General Assembly was over. There is no State Department on-record statement, so this is single-outlet. On Thursday Trump said the US could either "blow 'em up" or do a deal, and that resolution would come very soon. Britain said Iran may be [linked to an alleged plot](#) against RAF Fairford, which Tehran angrily denied. Mohammed bin Salman said Saudi Arabia would "respond firmly to any threat."

WHAT IT MEANS

Expelling the delegation removes the channel. Qatari mediators are still circulating compromise text, and that is now the only live route. Against the rhetoric, oil's backwardation says the market is pricing weeks of disruption rather than a war.

WATCH NEXT

Whether Qatar produces an actual text. Any change in IAEA access.

A Russian memo threatens nuclear use over Kaliningrad; a jet drone is built for power lines

WHAT HAPPENED

Russia sent NATO members a memo on Wednesday alleging the alliance is "preparing an air and naval blockade of Kaliningrad" and warning it would use "its entire arsenal, including nuclear weapons" if one occurred. Mark Rutte called the document unhelpful, restated that NATO is defensive and urged Russia to "stop the nuclear threats." That is [Al Jazeera only](#) and the memo is not public. Separately, Ukrainian officials said Wednesday's strikes killed seven including a child, damaged equipment at the Trypillia thermal plant, and for the first time used a jet-powered drone with a payload designed specifically to destroy transmission lines; overnight into Thursday, [87 of 107 drones](#) were downed or suppressed, with strikes recorded at 11 locations. All of those are Ukrainian government figures via Ukrinform and are not independently verified.

WHAT IT MEANS

A purpose-built anti-grid payload in the first week of October is a stated intention to take the winter, and it is cheaper than hitting substations with cruise missiles. The Kaliningrad memo is the same message on another frequency: both make the cost of the next few months legible to Western capitals.

WATCH NEXT

Western interceptor supply, and whether NATO answers the memo in writing.

SOURCES

Micron FQ4 FY2026 results (8-K, Exhibit 99.1)

Micron FQ4 FY2026 prepared remarks (PDF)

Micron share price history

TrendForce - 4Q26 memory contract price outlook

BEA - Personal Income and Outlays, August 2026

US Treasury - daily yield curve, September 2026

Federal Reserve - FOMC statement, 16 September 2026

Reuters via Euronext - oil settlements, 30 September

FTC press releases (carries nothing on the reported AI inquiry)

Benzinga - reported FTC probe of OpenAI and Anthropic

Axios - Thune on codifying AI safeguards

Trending Topics - Anthropic on GLM-5.3 cyber capability

Axios - Oura IPO delayed

TechCrunch - Flow Engineering \$50m Series B

Axios - EXIM loan to Astranis

TechCrunch - FedEx orders 2,000 Harbinger trucks

Axios - Republican Senate midterm map

Axios - Hegseth opens base competition

Axios - Hegseth on the press

Axios - Fed IG finds no wrongdoing by Powell

Axios - Blackburn sues Jack Smith

Ministere de l'Economie - PLF/PLFSS 2027 press conference notice

Banque des Territoires - budget 2027, 54bn euro effort

Axios - Rubio expels Iran's UN delegation

Al Jazeera - UK links Iran to alleged RAF Fairford plot

Al Jazeera - Russian memo warns on Kaliningrad

Ukrinform - 87 of 107 drones downed overnight

EUobserver - the EU return regulation

Council of the EU - JHA Council A-items list, 1-2 October

Bundesregierung - fuel price relief from 1 October